

The auctioneer will mention there is a reserve that must be reached for the property to sell, but they generally won't publicly share what that sum is. Listings will rarely disclose the reserve, but it can happen. The reserve is the lowest amount the seller will accept – 99 per cent of the time decided on the day of the auction – and if this number isn't reached during the auction, the home won't sell and will be passed in to the highest bidder.

Passed in

If the reserve isn't reached and the sales process moves to a negotiation phase, the first right to haggle passes to the highest bidder. They get to go inside, immediately, and find out what price the vendor wants. Everyone else who bid has to shuffle around on the street and wait to find out if the highest bidder and the vendor reach an agreement and sign.

The passing in of a property won't happen suddenly and catch you out; the pace of the auction will tangibly run out of steam and the agent will say something like, 'If there are no further bids I will pass the property in,' and they probably won't do this before going inside to consult the vendor, allowing reasonable time for someone to chime in and increase the price.

Vendor bid

If the auctioneer asks for a bidder to start the auction with an offer, but is greeted with radio silence – not unusual, because everyone is playing their cards close to their chest – they will instead launch with a vendor bid. It differs between states as to how many of these types of bids, on behalf of the seller, the auctioneer is allowed to make. You can ask the auctioneer for this information in the lead-up so you understand how it could play out.

On the market

The auctioneer generally won't say the reserve has been hit; instead they commonly use this phrase to let bidders know that the minimum price the seller wants has been surpassed and the highest bid will score the property.

Knock it down

This means the end is nigh – the auctioneer is close to selling the home. The words 'I'm about to knock it down' are what you should be listening for. The auctioneer can call this a couple of times; when they announce 'third